

CASE STUDY

Title: Carlill v Carbolic Smoke Ball Co (1893)

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Carlill v Carbolic Smoke Ball Co (1893)

INTRODUCTION:

- **Case Title:** Carlill v. The Carbolic Smoke Ball Company
- **Court:** Court of Appeal (UK, London)
- **Judges:** Justice Lindley, Justice Bowen, and Justice A. L. Smith
- **Type of Case:** Civil Appeal
- **Kind of Performance:** Unilateral Contract
- **Parties:**
 - **Claimant:** Mrs. Louisa Carlill
 - **Defendant:** The Carbolic Smoke Ball Company

The case **Carlill v Carbolic Smoke Ball Co (1893)** is the Landmark English Contract Law case which is held in London (UK Court). This case is about General Offer for the public Reward of 100 pounds due to old flu 1 million people have been killed from 1889 to 1890.

The company advertised its smoke ball product as a way to prevent influenza and promised to pay 100 pounds to anyone who used it as directed and still caught influenza. The company also stated that it had deposited 1,000 pounds in the bank to show sincerity.

FACTS OF THE CASE:

The Carbolic Smoke Ball Company manufactured a product known as the “Carbolic Smoke Ball”. The company advertised this product in newspapers. The advertisement is about that the smoke ball that helps to cure Influenza disease, by the instruction given by the company Carlill taken the medicine.

The Company told that they have already deposited 1000 pounds in Alliance Bank. But the company told that they will reward 100 pounds to public.

Mrs. Carlill filed a suit before Justice Hawkins and a special jury, who ruled in her favour. The company appealed this decision before the Court of Appeal.

LEGAL ISSUES:

1. Contract existed between the parties.
2. Communication of acceptance.
3. Advertisement was sufficient to constitute acceptance.
4. Valid consideration on the part of Mrs. Carlill.

The main legal issues were whether the newspaper advertisement was a true offer or merely sales puffery, whether an offer could be made to the public at large, whether Mrs. Carlill accepted the offer by performing the required act, and whether there was valid consideration to support a contract.

Another issue was whether the company had shown an intention to create legal relations. The deposit of £1,000 was important because it suggested the company was serious and not just exaggerating for advertising effect.

JUDGEMENT:

The judgement of *Carlill v. Carbolic Smoke Ball Company* was delivered by Justice Lindley, Justice Bowen, and Justice A. L. Smith, who unanimously dismissed the appeal and upheld the decision of the lower court. The main observations are summarised below.

The Court of Appeal ruled in favor of Mrs. Carlill and held that the advertisement was a valid offer to the world, capable of acceptance by anyone who performed the stated conditions. The court found that acceptance in a unilateral contract can occur through performance, without the need for prior communication of acceptance.

The judges also held that the use of the smoke ball as directed was sufficient consideration because Mrs. Carlill took the trouble of following the conditions, and the company gained the promotional benefit of increased public trust and sales. As a result, Mrs. Carlill was entitled to the 100 pounds reward.

LEGAL PRINCIPLE:

This case established the principle of a unilateral contract, where one party makes a promise to the public that becomes binding once another party performs the required act. It also confirmed that an advertisement can amount to a legal offer if it is clear, definite, and shows an intention to be bound.

The case further showed that acceptance may happen by conduct rather than words, and that consideration can exist even where the offeree does not make a separate promise, so long as the act requested by the offeror is performed.

BUSINESS RELEVANCE:

This case remains highly relevant in business because it shapes how companies design advertisements, warranties, promotions, and reward campaigns. Businesses must be careful when making specific public promises, because a clear and definite statement can create legal liability if customers act on it.

- **Section 2(a)** defines a proposal as the expression of willingness to do or abstain from doing something with a view to obtaining assent.
- **Section 2(b)** states that a proposal, when accepted, becomes a promise.
- A **general offer** may be made to the world at large and becomes binding when an individual performs the specified conditions.
- The number of acceptances may be limited expressly or impliedly, depending on the terms of the offer.

It also teaches that marketing language should be reviewed carefully to avoid accidental binding offers. In modern business, the case is often used to explain consumer protection, promotional claims, online offers, and the legal limits of “guaranteed” advertising.

CONCLUSION:

Carlill v Carbolic Smoke Ball Co is a classic case because it transformed the understanding of offer and acceptance in contract law. It proved that a public advertisement can be legally binding when it is specific, serious, and intended to induce performance.

- It clarified that advertisements can amount to offers under certain circumstances.
- It established that unilateral contracts become binding through performance.
- It reinforced that intention to create legal relations is determined objectively.
- It explained how consideration may be found even in indirect benefits or inconveniences.